

create wider and wider swings on the chart. If this chart were constructed as a/d, not a-d, it would more properly convey the extent of the relative weakness of wave V. In conclusion, what *Elliott Wave Principle* forecasted to be Cycle wave V fits the typical character of a fifth wave like a glove.

Within wave V, wave ⑤'s breadth has been the narrowest among the three Primary degree rises, generating the weakest upward slope, confirming that it is indeed wave ⑤. What's more, within wave ⑤, wave (5)'s breadth reveals a dramatic non-confirmation in that the advance-decline line is failing to accompany the DJIA above the high registered in January 1994. Both of these phenomena are noted in Figure 9-8. Despite headlines about how "the market" is making new highs, then, there have been more stocks down than up on the average day over the past fifteen months. Similarly, there are fewer stocks on the NYSE at one-year highs now than in January 1994, when there were in turn fewer than in early 1992. The advance-decline line for over-the-counter issues has fared even worse. Take another look at Figure 9-4 and observe the dismal breadth of the over-the-counter market since 1983. For *eleven years*, the NASDAQ index rose while on the average day more stocks closed lower than higher. This indicator reveals that daily buying in the index over that time has been selective, quite in contrast to the wholesale accumulation of 1974-1983.

Unfortunately, there are no breadth statistics for Supercycle wave (I) from 1784 to 1835 or wave (III) from 1842 to 1929. However, wave (III) took place during a period of essentially zero taxes and no government regulation. There is no doubt that such an environment would produce a greater breadth of successful business enterprise than the period from 1932 to today, which has encompassed wave (V). I am willing to state unequivocally that had we breadth statistics for the 19th century, the 20th century would show a bearish divergence at Supercycle degree.

Because in a-d terms, wave (5) is below wave (3), wave V is below wave III, and wave (V) is almost certainly below wave (III), the current situation is a non-confirmation at Intermediate degree on top of a non-confirmation at Cycle degree on top of a non-confirmation at Supercycle degree. This behavior is *extremely* divergent and supports the case that today the stock market is in the "fifth of the fifth" wave from Supercycle degree at least down to Intermediate degree. Such breadth behavior is a classic precursor of a downturn in the blue chip stock averages at any single degree, much less three together.